2. GST is also mainly technologically driven. All activities like registration, return filing, application for refund and response to notice need to be done online on the GST Portal. This will speed up the processes.

9.10 Public Debt



In the 18th and 19th centuries, the role of the state was minimum. But since 20th century there has been enormous increase in the responsibilities of the state. Hence the state has to supplement the traditional revenue sources with borrowing from individuals, and institutions within and outside the country. The amount of borrowing is huge in the under developed countries to finance development activities. The debt burden is a big problem and most of the countries are in debt trap.

9.10.1. Definitions

"The debt is the form of promises by the Treasury to pay to the holders of these promises a principal sum and in most instances interest on the principal. Borrowing is resorted to in order to provide funds for financing a current deficit."

– Philip E. Taylor

"The receipt from the sale of financial instruments by the government to individuals or firms in the private sector, to induce the private sector to release manpower and real resources and to finance the purchase of these resources or to make welfare payments or subsidies".

– Carl S.Shoup

9.10.2. Types of Public Debt

i) Internal public debt

An internal public debt is a loan taken by the Government from the citizens or from different institutions within the country. An internal public debt only involves transfer of wealth.

The main sources of internal public debt are as follows:

- Individuals, who purchase government bonds and securities;
- Banks, both private and public, buy bonds from the Government.
- Non-financial institutions like UTI, LIC, GIC etc. also buy the Government bonds.
- Central Bank can lend the Government in the form of money supply. The Central Bank can also issue money to meet the expenditures of the Government.

ii) **External public debt**

When a loan is taken from abroad or from an international organisation it is called external public debt. The main sources of External public debt are IMF, World Bank, IDA and ADB etc. Loan from other countries and the Governments.

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